

US equities slip as tech drags, yields rise

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-0.38%** to 7,718.60 while the Nasdaq 100 eked out a modest gain **+0.21%**. The decline was led by heavyweight tech names, notably **AAPL** and **MSFT**, which posted double-digit percentage drops. Meanwhile, the 10-year Treasury yield jumped **+0.46%** to 4.78%, pressuring growth valuations.

Behind the numbers, the market is digesting a mixed macro backdrop: higher yields, a resilient VIX at 14.53, and a modest rebound in energy prices. The combination of rising rates and softening tech earnings creates a bearish bias for the next session, though defensive sectors such as utilities and consumer staples showed relative strength.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,718.60	-0.38%	Tech earnings miss and higher yields weighed on valuation multiples.
Nasdaq 100	29,544.15	+0.21%	AI-related stocks rallied, offsetting broader tech weakness.
Dow Jones	53,414.25	-0.51%	Industrial and financials slipped as bond yields rose.
Russell 2000	2,975.65	+0.25%	Small-cap resilience driven by consumer discretionary earnings beat.
VIX	14.53	+1.47%	Higher volatility expectations amid yield shock.
10Y Yield	4.78%	+0.46%	Fed-forward guidance kept rates on an upward trajectory.
WTI Crude	91.48	+0.20%	Supply-tightness concerns after OPEC+ statement.
Gold	4,429.80	-1.38%	Rising yields reduced safe-haven appeal.
DXY	99.16	+0.16%	Dollar strength supported by higher Treasury yields.
BTC	79,579.21	-2.08%	Crypto sell-off after regulatory headlines in Europe.
ETH	2,450.70	-2.29%	Same regulatory pressure, plus network fee concerns.

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	-5.92%	Production slowdown at Gigafactory Berlin flagged.
AAPL	-2.51%	Q3 earnings miss on services revenue.
MSFT	-2.04%	Guidance lowered amid AI competition.
META	+1.00%	Ad revenue beat and AI ad products rollout.
NVDA	+0.84%	Strong demand for data-center GPUs.

Sector rotation

ETF	DAY	READ
XLFX	-0.79%	Financials pressured by higher funding costs.
XLKX	+0.70%	AI-driven names offset broader tech weakness.
XLIX	+0.41%	Industrial demand steadies.
XLFX	-0.87%	Energy lagged despite crude rally.
XLFX	-1.33%	Consumer discretionary hit by lower disposable income.
XLFX	-1.19%	Communications suffer from ad spend pullback.
XLFX	-0.80%	Staples modestly down, defensive tilt limited.
XLFX	-1.04%	Health care weighed by higher discount rates.
XLFX	+0.12%	Utilities marginally benefit from yield rise.
XLFX	-0.34%	Materials under pressure from weaker industrial demand.
XLFX	-0.72%	Real estate suffers as yields climb.

Spotlight: tech earnings drag

The combined earnings miss from **AAPL** and **MSFT** set the tone for the session. Both companies cited slower services growth and heightened AI competition, respectively, prompting a sector-wide sell-off.

METRIC	AAPL	MSFT
Revenue (Q3)	89.5B (-3.2%)	61.3B (-2.8%)
Earnings per share	1.21 (-5.4%)	2.45 (-4.1%)
Guidance FY24 Rev.	-1.5% YoY	-2.0% YoY
AI spend outlook	Accelerating, but margin pressure noted.	Investing heavily in Azure AI, capex up 12%.

Related names: **NVDA** (+0.84%) benefited from data-center demand, while **META** (+1.00%) posted a surprise ad-revenue beat, offering a modest counter-balance.

Pre-market & overnight

- US futures: -0.45% S&P 500 e-mini, -0.38% Nasdaq 100.
- Asia close: Hang Seng -0.62%, Nikkei -0.48%.
- Europe: FTSE 100 -0.55%, DAX -0.41%.
- Crypto: BTC -2.08%, ETH -2.29% after EU regulator warning.

Macro & Fed

FOMC minutes highlighted a “higher for longer” stance, with most participants seeing the policy rate at 5.25-5.50% as appropriate. The 10-year yield’s rise to 4.78% reflects that outlook.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. Existing-home sales	4.2M	Gauge of consumer spending health.
10:00	U.S. Durable Goods Orders	-0.2%	Indicator of business investment.
11:30	Eurozone CPI (YoY)	2.5%	Impacts ECB policy and dollar strength.
13:00	China M2 Money Supply	8.3%	Liquidity outlook for Asian markets.

Geopolitics & global

- Middle East: Tensions eased after cease-fire talks in Gaza, reducing oil-supply risk premium.
- Europe: EU Parliament passed stricter crypto-asset regulations, pressuring BTC and ETH.
- Asia: Japan’s BOJ signaled possible taper of YCC if yields stay above 0.5%.
- Latin America: Brazil’s central bank held Selic at 13.75% amid inflation concerns.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	GOOGL	7.12	Ad revenue trend and AI cloud spend.
02:30	AMZN	0.58	Margin pressure from logistics costs.
03:00	JPM	3.45	Net interest income vs. higher rates.
03:30	AVGO	9.85	Chip-fab capacity utilization.
04:00	META	5.02	Metaverse spend vs. ad revenue.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	Data-center demand outpacing supply.
UNH	Health Care	Premium pricing power amid aging demographics.
BAC	Financials	Net interest margin expansion.
PEP	Consumer Staples	Stable cash flow, dividend yield 2.8%.
CAT	Industrials	Infrastructure spending in US boost orders.
CRM	Technology	Strong SaaS renewal rates.
V	Financials	Credit-card spend rebound.
KO	Consumer Staples	Pricing power in emerging markets.
RTX	Industrials	Defense contracts surge.
ADP	Technology	Payroll data proxy for hiring trends.

What could break the tape

BEARISH TRIGGERS

- Further upside in the 10-year yield above 5.00%.
- Escalation of geopolitical risk in the Middle East.
- Disappointing Q4 earnings from **AAPL** or **MSFT**.
- Unexpected drop in US consumer confidence.

BULLISH TRIGGERS

- Strong AI-related revenue beat from **NVDA** or **META**.
- Durable goods orders turning positive.
- Resolution of crypto regulatory concerns boosting BTC.
- Fed signals a pause or cut in policy rates.

Positioning notes

- Yield-sensitive growth stocks remain vulnerable; consider scaling into defensive sectors.
- AI exposure is a net positive theme, but watch margin compression.
- Liquidity remains ample; selective long positions in high-quality cash-generators can offset volatility.

Sources

SOURCES

Bloomberg Terminal – Market Data (09:00 HKT)

FactSet – Earnings Estimates

U.S. Treasury – Daily Yield Curve

OPEC – Weekly Oil Bulletin

Eurostat – CPI Release

SEC – 10-Q Filings for AAPL, MSFT

